ALEXANDER ROY THOMSON
versus
LIAM BARRY BURNETT
and
CONNOR WILLIAM JOHN BURNETT
and
BURNETT MOTORS DEALERSHIP (PVT) LTD t/a CREATIVE AUTO

HIGH COURT OF ZIMBABWE
COMMERCIAL DIVISION
MUSITHU J
HARARE, 8 June 2026 & 6 July 2026

Opposed application – Personal Liability of Company Directors in terms of s 68(3) of the Companies and Other Business Entities Act

D. Muzorori, for the applicant
G. Ranganayi, for the 1st and 2nd respondents

MUSITHU J:

[1] Before the court is an application for an order in terms of s 68(3) of the Companies and Other Business Entities Act[1], declaring that the third respondent was being operated by the first and second respondents for fraudulent purpose. Consequently, the applicant petitioned the court to declare the first and second respondents, in their capacities as directors of the third respondent, personally responsible "without limitation of liability", for the judgment debt due to the applicant in a matter dealt with in the Magistrates Court under case number HREC-CD721/24.

[2] The application was argued before the court on 8 June 2026, and at the conclusion of oral submissions the court made an *ex tempore* ruling culminating in the granting of the following order:

"1. The application for an order in terms of section 68(3) of the Companies and Other Business Entities Act [*Chapter 24:31*] be and is hereby granted.
2. The first and second respondents be and are hereby declared personally responsible, without limitation of liability, for the judgment debt owed to the applicant by the third respondent by virtue of the order of the Magistrates Court under case number HREC-CD 721/24.
3. For the avoidance of doubt, the first and second respondents be and are hereby ordered to pay to the applicant jointly and severally, the one paying the other to be absolved, the sum of US$26,502.70 within ten (10) days of the date of this order.

[1] [*Chapter 24:31*]

4. The first and second respondents shall bear the applicant's costs of suit on a legal practitioner and client scale."

[3] The first and second respondents have requested reasons for the judgment through their legal practitioners. These are they.

Factual background and the applicant's case

[4] Sometime in November 2023, the applicant engaged into negotiations with a sales representative of the third respondent for the purchase of a motor vehicle from South Africa. On 7 December 2023, the applicant and the third respondent entered into a vehicle sales agreement for the purchase of a Toyota Fortuner, 2024 Model, Vehicle Identification Number (VIN) No. AHTZZ69G305038053 for the sum of US$33,000.00. In terms of the agreement of sale, the third respondent undertook to deliver the motor vehicle to the applicant within seven to fourteen working days, following the payment of the full purchase price.

[5] On the day the parties signed the agreement of sale, the applicant paid the sum of US$33,000.00 to the third respondent and an additional US$250.00 for the processing of Zimbabwean number plates.

[6] Despite the payment of the full purchase price, the third respondent failed to deliver the motor vehicle to the applicant within the 7 to 14 days as per its undertaking in terms of the agreement signed by the parties.

[7] The applicant was in constant engagement with the third respondent's sales representative, one Moses Gunda, during the period December 2023 to April 2024. On or around 22 March 2024, Gunda advised the applicant through a WhatsApp message that the delays in obtaining ZIMRA and the Central Vehicle Registry (CVR) clearance had in turn delayed the delivery of the motor vehicle to him. The delays in in the processing of the clearance of the vehicle were also confirmed in email correspondence between the applicant and the first respondent between 18 and 19 January 2024.

[8] The applicant was disheartened by the delays in the–delivery of the vehicle and the endless stories that he was being told as the cause of the delay. He engaged the first respondent for a refund of the purchase price. The communication to that effect was confirmed by email exchanges of 12 December 2023.

[9] The refund route was not pursued because on 26 February 2024, Moses Gunda advised the applicant via WhatsApp that the vehicle had now crossed the border from South Africa, and that the first respondent would deliver it to him for a test drive. The

applicant would thereafter decide whether to pursue the refund route or accept the vehicle despite the delayed delivery. The applicant opted to wait for the delivery of the vehicle, but it never came.

[10] On 25 April 2024, the applicant caused summons to be issued out of the Magistrates Court against the third respondent under case number HREC-CD 721/24, for a refund of the sum of US$33,250.00 that he had paid as the purchase price. The third respondent entered its plea on 29 May 2024, in which it averred that the vehicle was ready for delivery and that it was prepared to resell the vehicle and thereafter refund the purchase price to the plaintiff. Because the third respondent had no *bona fide* defence to the claim, the applicant proceeded to apply for summary judgment which was granted on 26 July 2024.

[11] Following the granting of the judgment in its favour, the applicant instructed the Messenger of Court to execute the property of the third respondent to recover the money. The third respondent had apparently shut down operations at its business premises as there were no more vehicles for sale at the premises. On 5 December 2025, the applicant obtained a garnishee order from the Magistrates Court to proceed against the third respondent's bank account. The garnishee order led to the recovery of a sum of US$6,747.30, which was remitted to the applicant by the third respondent's bank. The sum of US$26,502.70 remained outstanding.

[12] It was in light of the above that the applicant contended that the first and second respondents had abused the corporate legal personality of the third respondent to defraud him of the purchase price that he paid for the vehicle. The court could therefore disregard the separate personality of the third respondent so that liability could attach to the directors of the third respondent who controlled the entity.

[13] The applicant averred that the first and second respondents should be made personally liable for payment of the outstanding amount for the following reasons:

a) It was not in dispute that the applicant paid the full purchase price. It was also not in dispute that the respondents failed to deliver the motor vehicle or refund the purchase price. The applicant's funds could only have been utilised for other purposes other than the purchase of the vehicle. These were not the actions of the third respondent, but of the people who controlled it.

b) At the time of purchasing the vehicle, the applicant was advised by Moses Gunda that the vehicle being purchased had a VIN Number AHTZZ69G305038053. Both

Moses Gunda and the first respondent confirmed that the vehicle was being processed for clearance by ZIMRA and would thereafter be delivered shortly. The vehicle never came.

c) After failing to receive delivery of the vehicle for almost two years, the applicant engaged the services of a private investigator to check whether the vehicle ever made it into Zimbabwe. The private investigator informed the applicant that the vehicle with the VIN number AHTZZ69G305038053 could not be found in the ZIMRA database. This meant that the vehicle was either not in the country or if it was in the country, then it was smuggled in order to bypass customs processes.

d) The failure to deliver the vehicle could only mean that a fraud was being perpetrated against the applicant. It meant that the respondents accepted the applicant's funds with no intention to purchase the vehicle for him or the vehicle may have been smuggled into the country with the respondents failing to have it properly cleared and delivered to the applicant.

e) At the time of attaching the third respondent's bank account, the third respondent had closed its business premises as there was not a single vehicle in its parking lot. The directors of the third respondent had therefore acted fraudulently by divesting the third respondent of all executable assets, and in converting funds paid to the third respondent for their own use.

[14] On 14 July 2025, the respondents' legal practitioners wrote to the applicant's legal practitioners requesting the lifting of the garnish placed on the third respondent's bank account and further proposing that the applicant pays ZIMRA customs duty for the vehicle while the third respondent accounted for storage fees. Alternatively, the third respondent was to pay half of the money owed at once in full and final settlement or that the third respondent paid the outstanding balance of the refund in 12 equal instalments.

[15] In response to that letter, the applicant's legal practitioners wrote to the third respondent's legal practitioners asking them to clarify the following matters:

a) whether the vehicle would be released to the applicant fully registered and cleared with the relevant paperwork to confirm same, in the event that the applicant paid customs duty and the third respondent paid the storage fees;

b) If the answer was affirmative, then the projected timeline for the delivery of the vehicle to the applicant;

c) The basis for requiring the applicant to pay an additional amount towards customs duty since customs duty was already catered for in the sum of US$33,250.00 already paid to the third respondent;

d) The applicant's legal practitioners also requested clarification on the amount of customs duty that remained payable and the vehicle details.

[16] The letter from the applicant's legal practitioners did not elicit any response from the third respondent's legal practitioners. Following the failure by the third respondent's legal practitioners to respond to the letter from applicant's legal practitioners, the applicant instructed the Messenger of Court to attach funds in the third respondent's bank account. On 29 July 2025, the applicant's legal practitioners received the Messenger of Court's return of service advising that there were no funds available in the third respondent's bank account. That position was also confirmed by a letter of 7 August 2025 from the third respondent's bank advising that the account under garnishee was not funded.

[17] The applicant questioned the sincerity of the third respondent's request to have the garnish lifted so that it could pay off the applicant's outstanding balance yet there were no funds in the account. The applicant was therefore convinced that the respondents were perpetuating some fraud at his expense. For close to two years, no cogent reason was being given for the failure to deliver the vehicle despite payment of the full purchase price. It was for that reason that the applicant was convinced that the first and second respondents were abusing the third respondent's separate legal personality status and ought to be held personally liable.

The first and second respondents' opposition

[18] The main opposing affidavit was deposed to by the second respondent, with the first respondent associating himself with the averments made in the second respondent's opposing affidavit. The respondents denied that they ran the business of the third respondent fraudulently with the intention to defraud the applicant.

[19] While acknowledging the delay in delivering the vehicle, the second respondent claimed that the delay was in respect of what he called *'ZIMRA and Central Vehicle Registry clearance'*. The respondents averred that the applicant indeed test drove the vehicle and was happy to accept the vehicle and abandon the claim for a refund. The disagreement arose from the additional customs duty that the applicant was required to pay. The applicant refused to pay the additional duty. The respondents

averred that if the applicant had agreed to pay the additional customs duty, then the vehicle would have been released to him.

[20] The respondents admitted that their business lost viability and the third respondent stopped operations. Further, while admitting the factual narration of events made by the applicant, the respondents denied that their conduct constituted fraud. They insisted that this was a genuine business transaction in which delays were occasioned by ZIMRA and CVR.

The applicant's reply

[21] In its brief reply, the applicant dismissed the averments that ZIMRA and the CVR were responsible for the delays in the absence of proof to confirm that the vehicle was indeed brought into the country. There was simply no explanation why the vehicle had not been delivered two years from the date of payment of the purchase price. There was also no explanation as to why no refund of the purchase price was made.

[22] The applicant averred that the payment of the additional customs duty was conditional upon the provision of the correct import documentation, which the respondents failed to do. The failure to produce any documentation supporting the respondents' claim showed that they acted fraudulently while hiding behind the separate legal personality of the third respondent.

The Submissions

[23] *Ms Muzorori* for the applicant submitted that the way the respondents had conducted themselves pointed to an elaborate fraudulent scheme. More than two years had lapsed from the time that the plaintiff paid purchased the price, yet the vehicle had still not been delivered and there was no refund of the purchase price. No cogent explanation was placed before the court regarding the whereabouts of the vehicle following its alleged importation. In the absence of the vehicle, the respondents had also failed to account for the money that was paid as the purchase price.

[24] *Ms Muzorori* further submitted that this was a classical case for the court to exercise its discretion and pierce the corporate veil considering that the third respondent was used as a vehicle to commit fraud. The court was referred to the case of *Railings Enterprises (Pvt) Ltd t/a Paroan Trucking v Dowood Services (Pvt) Ltd t/a Bradfield Motors and Two Ors*[2], in which the court dealt with an application similar to the one before this

[2] HB 53/16

court and found the directors of the company personally responsible for a fuel debt owed by the first respondent therein to the applicant.

[25] The applicant's counsel also submitted that it was improper for directors to siphon funds from the company and convert it to their own use rendering the company unable to satisfy its contractual obligations. Specific performance was never tendered to the applicant. The funds given to the third respondent to purchase the car were diverted for another purpose that the applicant never authorised. The applicant's counsel also pointed out to several false representations that were made by the representatives of the third respondent that all but confirmed that it was not the company to blame, but the representatives themselves.

[26] *Ms Muzorori* also submitted that although the applicant was indeed given a vehicle to test drive, it was not the vehicle that he had purchased, which was supposed to have been imported from South Africa. It was at that stage that the applicant employed the services of the private investigator to check if indeed the vehicle had been imported from South Africa since there was no paperwork to confirm the importation. The investigator confirmed that the alleged vehicle had not been imported.

[27] In his response, *Mr Ranganayi* for the respondents argued that it was not correct for the applicant to allege that he was unaware of the whereabouts of the vehicle or the use to which funds were put. He pointed to the WhatsApp exchanges between the applicant and Moses Gunda in which Gunda advised the applicant on 8 December 2023 that the payment for the car had been made in South Africa. In one chat, Gunda told the applicant that the car had crossed the border, and the first respondent was arranging that it be brought to the applicant for test drive.

[28] *Mr Ranganayi* further submitted that the dialogue between the parties confirmed that the vehicle was indeed in Zimbabwe. The only disagreement arose because of the request for payment of additional customs duty. Counsel dismissed the report from the private investigator arguing that it was not signed.

[29] When quizzed by the court to explain whether the vehicle given to the applicant for test driving was indeed the one that was purchased and imported into the country in the absence of the relevant paperwork, *Mr Ranganayi* admitted that he was not sure whether it was the same vehicle that was indeed imported. He could also not explain why the relevant paperwork confirming the purchase of the vehicle in South Africa, and the importation of the vehicle through border was not available.

The analysis

[30] The principle of the corporate personality of a company is hallowed and has withstood the test of time. It is a foundational corporate law tenet which allows a company to be legally recognised as an artificial or fictitious person. It exists as a separate legal person apart from the people who formed it and it has its own rights and obligations as a legal persona. It is for that reason that the courts are slow to interfere with that status by ascribing personal liability to its directors or shareholders for the due performance of its obligations in exceptional circumstances.

[31] Section 68(3) under which the present application was filed provides as follows:

> **"68 Fraudulent, reckless or grossly negligent conduct of business**
> (1) ……..
> (2) …….
> (3) If it appears to a court that any business of a company or private business corporation was or is being carried on –
> (a) recklessly; or
> (b) with gross negligence; or
> (c) with intent to defraud any person or for any fraudulent purpose; the court may declare that-
> (d) any of the past or present directors of the company or any other persons who were knowingly parties to the carrying on of the business in such manner or in such circumstances ;
> (e) ……
> (hereinafter called an "impugned person") shall be personally responsible, without limitation of liability, for all or any of the debts or other liabilities of the company or private business corporation as the court may direct, and the court may give such further orders as it considers proper for the purpose of giving effect to the declaration and enforcing the liability, including an order under subsection (4)."

[32] The above provision therefore provides an exception to the principle of corporate personality by disregarding the veil of incorporation that shields directors from being made liable for the company's obligations. Broadly speaking, the effect of the provision is to strip away the protection accorded by limited liability in cases of fraudulent or grossly negligent business practices that can only be attributed to the conduct of the directors themselves.

[33] It must be recalled that although the company assumes a separate legal personality on its incorporation, it nevertheless must conduct its business operations through the people who run its affairs. It can only make decisions through the people reposed with

authority to provide the required corporate direction. It is common cause that directors or other officers involved in the affairs of the company may commit fraudulent or delictual acts and seek to hide behind the separate personality of the company when for all intents and purposes such acts must be attributable to the directors or officers in their personal capacities. It is that mischief that section 68(3) was designed to remedy.

[34] It was not in dispute that the applicant purchased a motor vehicle from the third respondent, which was to be imported from South Africa. The parties agreed on the vehicle's make and model. It was also common cause that the vehicle was to be delivered within seven to fourteen days of payment of the purchase price. It was not delivered within the agreed period and, after several follow-ups, the applicant elected to resile from the contract and demanded a refund of the purchase price of US$33,000.00, plus the additional US$250.00 paid for the processing of number plates. The refund was not paid.

[35] In determining whether the respondents fall within the ambit of s 68(3) of the COBE, the court must consider the manner in which they conducted themselves in the transaction involving the applicant and the third respondent. The first and second respondents together with Moses Gunda gave conflicting reasons for the delay in the delivery of the vehicle. The main excuse was that the delay was occasioned by ZIMRA and Central Vehicle Registry clearance processes.

[36] It is common cause that a vehicle that is imported from South Africa must undergo customs processes which include the assessment of customs duty and the payment of the assessed duty before it leaves the port of entry. The processing of number plates through CVR is at the tail end of the process and it is ordinarily done after the vehicle has already left the port of entry. Both the customs and the CVR processes involve the generation of the requisite paperwork that must accompany the vehicle.

[37] It followed that if the vehicle indeed passed through the ZIMRA port of entry, then the requisite paperwork confirming the clearance would have been in the possession of the respondents. It would have been furnished to the applicant the moment it was requested. It would have been attached to the respondents opposing affidavit herein as well as in the Magistrates Court proceedings under HREC-CD721/24. The relevant paperwork confirming the importation of the vehicle was never produced. At the hearing of this matter, the first and second respondents' counsel was not even sure if the paperwork existed.

[38] It is also common cause that the applicant approached the Magistrates Court and was granted summary judgment for the sum of US$33,250.00. He only managed to recover US$6,747.30 after he caused the garnishing of the third respondent's bank account. The judgment of the Magistrates Court was not contested.

[39] It was also not in dispute that at one point the respondents invited the applicant to test drive a vehicle that they claimed was the one that had been imported as agreed. The invitation was done long after the applicant had demanded a refund of the purchase price. The respondents demanded additional funds supposedly to cover customs duty. Meanwhile, the applicant's legal practitioners had requested the respondents' legal practitioners to provide more information on the proposal made in their letter of 14 July 2025. One of the key demands made in the applicant's letter of 17 July 2025 was for the respondents' legal practitioners to confirm if the vehicle would be released to the applicant fully registered and legally cleared with the relevant paperwork to prove same. No response came from the respondents' legal practitioners.

[40] To confirm whether the vehicle that he was being asked to test drive was the one imported from South Africa, the applicant engaged a private investigator, Safeguard Investigations and Forensic Services. The investigator advised that his enquiries had revealed that the vehicle with the VIN number AHTZZ69G305038053 was not even in the ZIMRA systems. That could only mean that if the vehicle was indeed in the country, then it must have been smuggled into the country. This was because the VIN of any vehicle coming through the border would be captured in the ZIMRA database. The other possibility was that the vehicle never entered the country.

[41] As already mentioned, it was the easiest of tasks for the first and second respondents to produce the relevant paperwork to confirm that the vehicle was cleared by customs and it was indeed in the country legally. No such information was released for more than two years leading to the filing of the present application. There are several records of communication which are part of the record, in which the first and second respondents, as well as Moses Gunda assured the applicant that the vehicle had indeed crossed the border. In his oral submissions, the respondents' counsel made a similar representation.

[42] The representation made by the third respondent's representatives that the vehicle had crossed the border, that delivery was delayed by ZIMRA and CVR processes was clearly false. As already stated, if the vehicle had indeed been imported into the country, then the respondents would have placed the relevant paperwork in the

proceedings before the Magistrates Court as well as before this court. The failure to produce the relevant documentation for a period in excess of two years clearly showed that such documentation did not exist. The fact that the documentation did not exist also confirmed that no vehicle was imported from South Africa at all.

[43] In the final analysis, the issue that arose was whether the misrepresentations concerning the status of the vehicle should be attributed to the third respondent, an artificial *persona*, or the first and second respondents who happened to be its directors. There was also Moses Gunda who was communicating with the applicant on behalf of the respondents herein. Clearly the false representations cannot be attributed to the third respondent. It was the first and second respondents, and Moses Gunda who communicated falsehoods. It was also the first and second respondents and Moses Gunda who received the purchase price on behalf of the third respondent and could account for the missing funds.

Costs of suit

[44] The conduct of the respondents was highly reprehensible and deserved to be penalised. Not only did they communicate falsehoods to the applicant during the more than two years that he was pursuing specific performance or a refund of the purchase price, but such falsehoods were persisted under oath in the opposing affidavit before this court. Even their own legal practitioner failed to confirm the existence of the very documents that were required to confirm the importation of the vehicle from South Africa. An order of costs on the legal practitioner and client scale was therefore justified under the circumstances. The first and second respondents' conduct amounted to an abuse of court process.

[45] It was for the foregoing reasons that the court was satisfied that this was a classical case which justified the invoking of the provisions of s 68(3) of the COBE, leading to the granting of the order sought by the applicant, that the first and second respondents be declared personally responsible, without limitation of liability, for the judgment debt owed to the applicant by the third respondent by virtue of the order of the Magistrates Court under case number HREC-CD 721/24.

MUSITHU J: ……

Atherstone & Cook, applicant's legal practitioners
IEG Musimbe & Partners, 1st and 2nd respondents' legal practitioners